equity, and venture capital, against these costs. Different questions to address regarding search costs:

How Will I Identify Managers?

If we lower portfolio risk via an exotic allocation, but incur an annualized 200bps in search costs to attain the allocation, does it still make sense?

How Will I Monitor Managers?

Compared to a 1940 Act product, exotic allocations require more hands-on monitoring and periodic reassessment. Now we need a staff with specialized expertise. Or maybe we outsource to a consultant. How much is this going to cost?

How Will I Deal with Manager Turnover?

As a one-time expense, manager search costs might not be too prohibitive. However, consider the fact that managers can fail or leave the business, and the need to maintain a stable of the top managers is an on-going process. Additionally, there can be significant switching costs associated with moving to new managers, including commissions, market impact, and the opportunity costs of being out of the market during a transition.

FACTS Conclusion

Staring at performance charts is only the first step when deciding on an investment strategy. A range of additional factors must be considered. The world is infinitely complicated, and these factors need to be assessed critically and individually when investing. The FACTS framework can help identify the right questions, which will help investors make better decisions. The FACTS framework consists of **F**ees, **A**ccess, **C**omplexity, **T**axes, and **S**earch. By no means does the FACTS framework cover every aspect of strategy selection or investment decision-making, but we hope it will provide an important tool for investors as they seek to deploy their hard-earned capital most effectively.